

7-8 Chapter Review

7-8a Let's Review Chapter Summary

1. Sarbanes-Oxley requires companies to maintain strong and effective internal controls and to report on the effectiveness of the internal controls.
2. The objectives of internal control are to provide reasonable assurance that (1) assets are safeguarded and used for business purposes, (2) business information is accurate, and (3) the company is complying with laws and regulations. The elements of internal control are the control environment, risk assessment, control procedures, monitoring, and information and communication.
3. A cash register is a control for protecting cash received in over-the-counter sales. A remittance advice is a control for cash received through the mail. Separating the duties of handling cash and recording cash is also a control. A voucher system is a control system for cash payments. Many companies use electronic funds transfers for cash receipts and cash payments.
4. Bank accounts control cash by reducing the amount of cash on hand and facilitating the transfer of cash between businesses and locations. In addition, the bank statement allows a business to reconcile the cash transactions recorded in the accounting records to those recorded by the bank.
5. A bank reconciliation is prepared using the nine steps as summarized in [Exhibit 12](#). The items in the company section of a bank reconciliation must be journalized in the company's records.
6. Special-purpose cash funds, such as a petty cash fund or a travel fund, are used by businesses to meet specific needs. Each fund is established by cashing a check for the amount of cash needed. At periodic intervals, the fund is replenished and the disbursements recorded.
7. Cash is listed as the first asset in the "Current assets" section of the balance sheet. Companies that have invested excess cash in highly liquid investments usually report *Cash and cash equivalents* on the balance sheet.
8. Days' cash on hand is the number of days the daily cash operating expenses can be supported by cash and near-cash balances. A higher number of days implies a higher liquidity and is viewed favorably by creditors. However, a number of days' cash on hand that is too high may indicate that a company has not invested cash back into the business or returned profits back to the owners.

